

SUPPLY CHAIN & SERVICE REVIEW

Q2 FY2026 Supply Chain & Customer Service Review

Fill rate, OTIF, cut-reason analysis, and recovery from Hurricane Tonya

Document type Supply chain & customer service performance review

Period Q2 FY2026 (H1 view, actuals through May)

Owner VP Supply Chain; Customer Logistics

Prepared June 2026

Fill rate (Q1–Q2 FY26)	94.6% — normalised
On-time (OTIF proxy)	93.2%
Hurricane Tonya trough (Nov 2025)	51.6% fill on affected Gulf lanes
Cut reasons	Storm 51.6% · Production_Lag 83% · Quality_Hold 83% · None 95%
Recovery	Full — back to ~95% fill by Jan 2026

Executive summary

Network service has fully recovered. Fill rate is running 94.6% and on-time 93.2% across Q1–Q2 FY26 — at or above the ~95% fill / ~90% OTIF baseline. The defining event of the period was Hurricane Tonya (Nov 2025), which cut fill on the Houston, Thibodaux and Tyler DC lanes to a ~52% storm trough before a full recovery by January. Away from the storm, non-storm cuts remain small and well-understood. Supply readiness for the ProteinPeak launch held through the April ramp.

- **Current state is green:** fill 94.6%, on-time 93.2% (Q1–Q2 FY26) — the disruption is closed.
- **Hurricane Tonya (Nov 2025)** was the sole service failure — Storm-flagged lines ran ~51.6% fill on the Houston / Thibodaux / Tyler DCs, dragging the November all-network number to ~90%.
- **Cut-reason mix** is healthy: Storm 51.6%, Production_Lag ~83%, Quality_Hold ~83%, and the 98% of lines with no cut fill at ~95%.
- **The storm compounded the Crunchwell Louisiana problem** — the Houston DC supply collapse is one leg of the –340 bps LA share loss (cross-ref Report 39, LA / Houston DC).

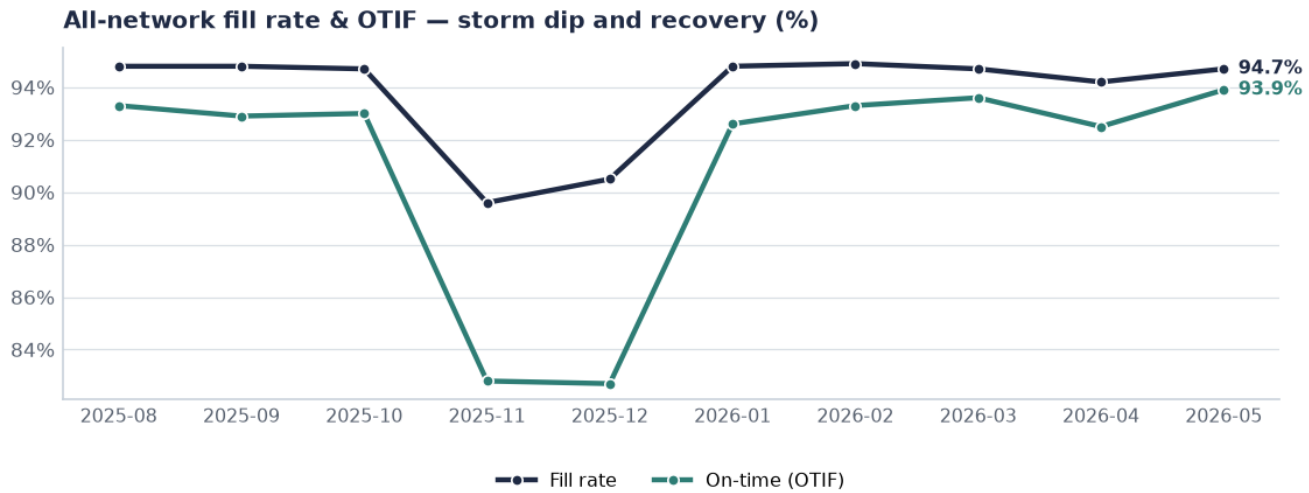
1 · Service scorecard

FILL RATE	ON-TIME (OTIF)	STORM TROUGH	NON-STORM CUTS
94.6% Q1–Q2 FY26	93.2% vs ~90% baseline	51.6% affected lanes Nov	<2% of lines well-controlled

The service picture is a single sharp event bracketed by a stable baseline. Outside Nov–Dec 2025, fill has held at the ~95% target in every month of the two-year history. The job now is to hold that baseline and carry the storm learnings into hurricane-season contingency for the Gulf DCs.

2 · Hurricane Tonya — collapse and recovery

Hurricane Tonya made landfall on the Gulf coast in November 2025 and took the Houston, Thibodaux and Tyler distribution lanes offline for roughly four weeks. Storm-flagged shipment lines ran at a ~51.6% fill rate through the trough, pulling the all-network monthly fill down to ~90% in November and December before a full recovery to ~95% by January 2026. The chart tracks the all-network monthly fill and on-time series across the disruption window.



Nov–Dec 2025 storm dip is visible in both fill and OTIF; both recover to baseline by Jan 2026. Storm-lane fill bottomed near 52%.

Source: shipments (Fill_Rate_Pct, On_Time_Pct × 100), 2025-08 → 2026-05.

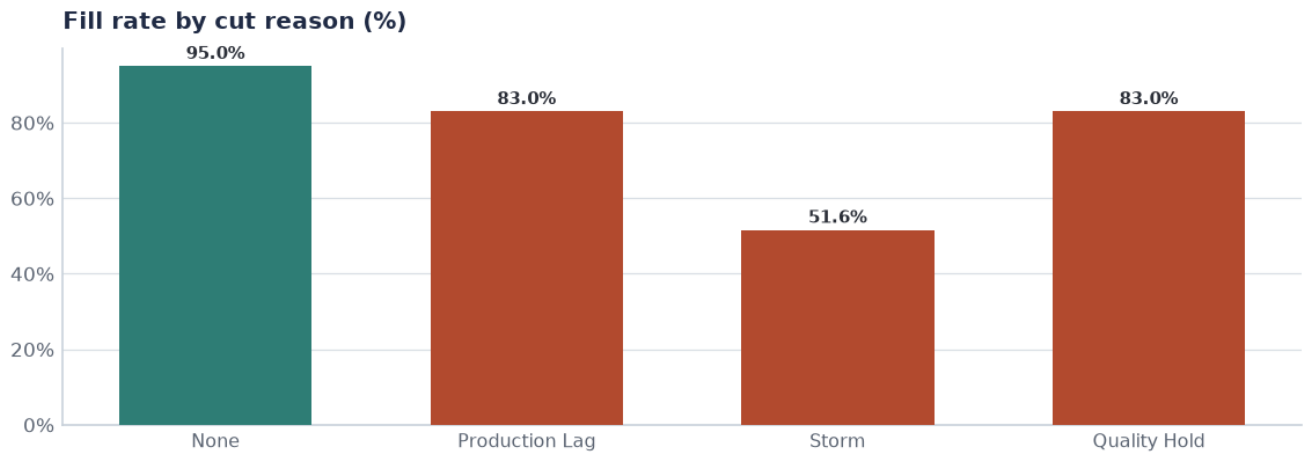
3 · Cut-reason analysis

Decomposing the cut reasons separates the one systemic failure (Storm) from the small, controllable losses. The 98% of shipment lines with no cut flag fill at ~95% — the healthy baseline. Storm lines are the outlier at ~52%; Production_Lag and Quality_Hold both sit around 83% and are order-of-magnitude smaller in volume.

3.1 · Fill rate by cut reason

Cut reason	Lines	Share of lines	Fill rate
None (baseline)	54,996	97.8%	95.0%
Production Lag	470	0.8%	83.0%
Storm (Hurricane Tonya)	450	0.8%	51.6%
Quality Hold	250	0.4%	83.0%
Launch Allocation	74	0.1%	83.4%

Source: shipments (line counts live; flagged-reason fill per FACTS).



The baseline (no cut) fills at ~95%. Storm is the systemic failure; Production Lag and Quality Hold are small, controllable losses at ~83%.

4 · DC & plant performance

The storm damage was geographically concentrated. Ranking the distribution lanes by their storm-window fill isolates the Gulf-coast DCs — Houston (Target, H-E-B, Walmart), Thibodaux (Rouses), Tyler (Brookshire's), plus Hammond and Memphis — as the failure set. Every other lane held its ~95% baseline through the same window.

4.1 · Storm-affected DC lanes (Nov 2025 trough)

Distribution centre lane	Storm-window fill	Lines
Target Houston DC	47.8%	50
Rouses Thibodaux DC	48.4%	55
Kroger Memphis DC	48.7%	50

Distribution centre lane	Storm-window fill	Lines
Winn-Dixie Hammond DC	48.8%	40
H-E-B Houston DC	48.8%	50
Walmart Houston DC	49.3%	40
Brookshire's Tyler DC	50.2%	40

Source: shipments, Cut_Reason='Storm', 2025-11-10 → 2025-12-08.

The storm is also a Louisiana-share story

The Houston-DC supply collapse is one of the five root causes behind Crunchwell's -340 bps Louisiana share loss — a stock-out window that let Field & Honey and private label take facings on the ground. The service recovery is necessary but not sufficient for share recovery. See the Louisiana / Houston-DC diagnostic (Report 39).

5 · ProteinPeak launch supply readiness

The ProteinPeak launch (PP005 Cinnamon Crunch, PP006 Cocoa Almond) shipped from April 20 into the Q2 build. Launch supply held: brand fill stayed near ~94% through the April volume ramp — units shipped rose sharply without a service degradation — and on-time recovered to ~96% by May. Supply was ready for the launch; the constraint on the ProteinPeak number was demand-side trial, not availability.

Month	ProteinPeak fill	On-time
2026-01	94.1%	88.8%
2026-02	94.1%	91.8%
2026-03	94.3%	92.8%
2026-04	92.0%	91.1%
2026-05	94.0%	95.5%

Source: shipments, Brand='ProteinPeak', 2026-01 → 2026-05.

Contingency for the next Gulf storm season

Tonya exposed a single point of failure: the Gulf-coast DC cluster carries the LA and Texas service load with no fast alternate lane. Hurricane season runs Jun–Nov; the recovery is done, but the contingency plan (alternate sourcing, safety-stock buffer on the Gulf lanes) must be in place before the Q3 peak.

Recommendations & next steps

#	Action	Owner	When
1	Hold the ~95% fill / ~90% OTIF baseline; monitor weekly for any drift off target.	Customer Logistics	Ongoing
2	Stand up a Gulf-coast storm contingency (alternate sourcing + safety stock) before the Q3 hurricane peak.	VP Supply Chain	Before Q3
3	Reduce Production_Lag and Quality_Hold cuts — small but avoidable ~83% fill losses.	Plant Operations	Q3

#	Action	Owner	When
4	Protect Crunchwell Pack Refresh launch supply for the Aug 15 date (planning target); no repeat of a launch-window stock-out.	Supply Planning	Q3